

Module 1

Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

Cash book			
December 2020	HK\$	December 2020	HK\$
Error: Cheque entered on the wrong side of bank account ⁴ (HK\$55,000 x 2)	110,000	Balance b/f	5,600
Error: Credit side overstated ⁸	8,800	Bank charge ²	6,700
Error: Payment entered twice ⁹	10,200	Trade receivables – dishonoured cheque ³	22,000
		Error: Post-dated cheque ⁵	33,000
		Error: Payment of loan understated ⁶ (HK\$9,800 – HK\$8,900)	900
		Rental fee ⁷	28,000
		Adjusted balance c/f	32,800
	<u>129,000</u>		<u>129,000</u>

Answer 1(b)

Universe Limited Bank Reconciliation Statement as at 31 December 2020		HK\$
Balance as per bank statement		28,800
Add: Deposit in transit ¹		49,000
		<u>77,800</u>
Less: Unpresented cheque ¹		(45,000)
Balance as per adjusted cash book balance		<u>32,800</u>

Answer 2(a)

Kitman Limited Statement of profit or loss and other comprehensive income For the year ended 31 March 2021			
	HK\$	HK\$	HK\$
Sales			2,856,000
Less: Returns inwards (HK\$23,000 – HK\$12,000)			<u>(11,000)</u>
			2,845,000
Less: Cost of sales			
Opening inventory		642,000	
Purchases	1,056,000		
Less: Returns outwards	<u>(12,000)</u>	1,044,000	
Carriage inwards		<u>63,000</u>	
		1,749,000	
Less: Closing inventory		<u>(554,000)</u>	<u>(1,195,000)</u>

Gross profit		1,650,000
Less: Expenses		
Operating expenses	84,000	
Rent and rates (HK\$121,000 - HK\$52,000 / 2)	95,000	
Electricity and water (HK\$156,000 + HK\$48,000)	204,000	
Salaries	247,000	
Carriage outwards	78,000	
Selling and distribution costs	88,000	
Bank loan interest (HK\$2,000,000 x 4%)	80,000	
Impairment loss on trade receivables (HK\$20,000 – HK\$16,000)	4,000	
Depreciation on building (HK\$4,200,000 / 20)	210,000	
Depreciation on furniture and equipment (HK\$2,800,000 / 20)	140,000	(1,230,000)
Profit before tax		420,000
Less: Taxation		(180,000)
Profit for the year		<u>240,000</u>
Other comprehensive income:		
Revaluation surplus on building [4,800,000 - (HK\$4,200,000 - HK\$630,000 – HK\$210,000)]		1,440,000
Other comprehensive income for the year		<u>1,440,000</u>
Total comprehensive income for the year		<u><u>1,680,000</u></u>

Answer 2(b)

Kitman Limited			
Statement of financial position as at 31 March 2021			
	HK\$ Cost/ Valuation	HK\$ Accumulated depreciation	HK\$ Carrying amount
ASSETS			
Non-current assets			
Building	4,800,000	-	4,800,000
Furniture and equipment (W1)	<u>2,800,000</u>	<u>530,000</u>	<u>2,270,000</u>
	<u>7,600,000</u>	<u>530,000</u>	<u>7,070,000</u>
Current assets			
Inventory		554,000	
Trade receivables (HK\$366,000 + HK\$12,000)	378,000		
Less: Allowance for impairment loss on trade receivables	<u>(20,000)</u>	358,000	
Prepayment (HK\$52,000 / 2)		26,000	
Cash at bank		<u>471,000</u>	<u>1,409,000</u>
Total assets			<u><u>8,479,000</u></u>

EQUITY AND LIABILITIES

Equity

Ordinary share capital	2,000,000	
Revaluation reserve	1,440,000	
General reserves (HK\$800,000 + HK\$300,000)	1,100,000	
Retained earnings (HK\$1,595,000 + HK\$240,000 – HK\$200,000 – HK\$300,000)	<u>1,335,000</u>	
Total equity		<u>5,875,000</u>

Non-current liabilities

4% Bank loan	2,000,000	
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Current liabilities

Trade payables (HK\$348,000 – HK\$12,000)	336,000	
Tax payable	180,000	
Interest payable (HK\$80,000 – HK\$40,000)	40,000	
Accrued expenses	<u>48,000</u>	<u>604,000</u>
Total liabilities		<u>2,604,000</u>
Total equity and liabilities		<u>8,479,000</u>

Workings

(W1) HK\$390,000 + HK\$140,000 = HK\$530,000

Answer 3

- (1) The accounting treatment was appropriate and the materiality concept has been adopted.

According to the materiality principle or concept, information is material only if its omission or misstatement could influence decisions of those financial statements users.

The acquisition cost of the screwdrivers (HK\$100) was immaterial when compared with the net profit for the year (HK\$56,000,000). Therefore, it is appropriate to write off the amount as an expense in the financial statements of the company.

- (2) The accounting treatment was not appropriate and the consistency principle or concept has been violated.

The consistency principle or concept advocates that once an accounting treatment has been adopted by a reporting entity for recording or presentation purpose, the same treatment should be adhered to and followed for similar accounting items within the same accounting period and from one period to the next.

Adopting different accounting treatments for the same accounting items is not appropriate and the company should depreciate all computers using the same depreciation method, i.e. reducing balance method.

Answer 4(a)

	<u>Dr.</u> HK\$	<u>Cr.</u> HK\$
<u>1 April 2020</u>		
Furniture (HK\$800,000 + HK\$8,000 + HK\$16,000)	824,000	
Insurance	32,000	
5% Bank loan		856,000
Acquisition of furniture and payment of annual insurance fee through bank borrowing.	HK\$	HK\$
<u>30 September 2020</u>		
Bank loan interest (HK\$856,000 x 5% x 6 / 12)	21,400	
Bank		21,400
Payment of bank loan interest for the half-year ended 30 September 2020.		
Depreciation expenses - Furniture (HK\$4,800,000 x 10%) + (HK\$824,000 x 10% x 6 / 12)	521,200	
Accumulated depreciation - Furniture		521,200
Depreciation expense on furniture for the year ended 30 September 2020.		
Depreciation expenses – Motor vehicle (HK\$2,600,000 - HK\$1,820,000) x 20%	156,000	
Accumulated depreciation – Motor vehicle		156,000
Depreciation expense on motor vehicles for the year ended 30 September 2020.		
Accumulated depreciation – Motor vehicle (W1)	390,400	
Bank	362,400	
Loss on disposal	47,200	
Motor vehicle		800,000
Loss on disposal of motor vehicle.		

Workings

- (W1) Depreciation for 2017/18: HK\$800,000 x 20% = HK\$160,000
 Depreciation for 2018/19: (HK\$800,000 – HK\$160,000) x 20% = HK\$128,000
 Depreciation for 2019/20: (HK\$640,000 – HK\$128,000) x 20% = HK\$102,400

Answer 4(b)

Octopus Limited
Statement of financial position as at 30 September 2020

	Cost	Accumulated Depreciation	Carrying Amount
	HK\$	HK\$	HK\$
<u>Non-current assets:</u>			
Furniture (W1, W2)	5,624,000	2,321,200	3,302,800
Motor Vehicles (W3, W4)	<u>1,800,000</u>	<u>1,585,600</u>	<u>214,400</u>
	<u>7,424,000</u>	<u>3,906,800</u>	<u>3,517,200</u>

Workings

- (W1) HK\$4,800,000 + HK\$824,000
(W2) HK\$1,800,000 + HK\$521,200
(W3) HK\$2,600,000 – HK\$800,000
(W4) HK\$1,820,000 + HK\$156,000 – HK\$390,400

* * * END OF EXAMINATION PAPER * * *